

in the historical record with this type of interest rate environment, as the early 1940s was the only other period where ten-year Treasuries fell to the 2 percent range.

*Exhibit 5.5*

*10-Year Treasury Yields at the Start of Each Year, 1871–2017*



Source: Robert Shiller's data (<http://www.econ.yale.edu/~shiller/data.htm>).

Our earlier discussion about the PMT formula makes clear that sustainable withdrawal rates are intricately related to the returns provided by the underlying investment portfolio. With sequence-of-returns risk, the returns experienced in early retirement will weigh disproportionately on the final outcome. Current market conditions are much more relevant than historical averages. Past historical success rates are not the type of information that current and prospective retirees need for making withdrawal rate decisions. While the original Trinity study concluded that the 4 percent rule has a 95 percent chance for success, that only means the 4 percent rule succeeded in 95 percent of the rolling historical thirty-year periods. New retirees should